

NAME:..... ADM NO.....
SCHOOL:..... DATE

BUSINESS STUDIES (565/2)
FORM 4 PAPER 2
END OF TERM 2 - 2020
Time: 2:30Hours

MERU CENTRAL SUBCOUNTY JOINT EXAMINATION(2020)

INSTRUCTIONS TO CANDIDATES

1. Write your name and Admission number in the spaces provided above
2. Answer any five questions

- 1 a) Describe five features of economic resources (10marks)
 b) Explain five internal economies of scale that a firm can enjoy as its scale of production increases. (10marks)

- 2a) Explain five important of filing documents in an organization (10marks)
 b) Explain five factors that determine the size of a firm (10marks)

3a) The following trial balance was prepared from the books of Muranga traders as at 31st Dec 2018

Muranga traders
 Trial balance
 As at 31st Dec 2018

	Dr (shs)	Cr (shs)
Sales		900,000
Purchases	500,000	
Returns	60,000	20,000
Carriage inwards	30,000	
Carriage outwards	3,000	
Stock (jan 2018)	100 ,000	
Rent	12,000	60,000
Delivery van	300,000	
Bank	60,000	
Creditors		50,000
Debtors	100 000	
Interest	18,000	
General expenses	7,000	
Capital		178,000
	1,190,000	1,190,000

Stock on 31st Dec 2018 was at sh.130,000 required,
 Prepare a trading profit and loss account for the year ended 31st Dec 20 189. (10marks)

- 3b) Explain any five limitations of advertising goods in newspapers (10marks)

- 4a) Explain 5 ways of correcting balance of payment deficit. (10marks)

- b) Explain five factors that are likely to lead to high birth rate in Kenya. (10 marks)

5a) Explain five challenges that may be faced by a producer who sells goods directly to consumers.
(10 marks)

b) On March 1 2017, Lyon had cash in hand sh.87,000 and cash at bank sh.250,000. During the month, the following transactions took place:

2017

- March 2: Cash sales sh.60,000
3: Paid salaries sh.101,500 by cheque
7: Received a cheque of sh.76,000 from Henry after allowing him a cash discount of 5%
13: Bought office furniture by cheque sh.86,000
17: Settled Marita's account for sh.34,200 in cash, having deducted sh.800 cash discount.
20: Received a cheque for sh.165,000 in respect of cash sales.
22: Paid wages sh.25,000 in cash.
24: Withdrew sh.32,000 from the bank for office use.
25: Withdrew sh.4000 cash for personal use
29: received sh.17,000 cash from Alvin in settlement of his account less sh.1000 cash discount.
31: Deposited all the money into the bank except sh.24,000.

Required:

Prepare a three column cash book duly balanced. (10 marks)

6a) Differentiate between life assurance and property insurance (10marks)

b) Explain five circumstances under which personal selling may be most appropriate.
(10 marks)